STARTUPS

How 2 UC Berkeley dropouts raised $28M for their AI marketing automation startup

Julie Bort — 8:00 AM PDT · July 30, 2025


IMAGE CREDITS: CONVERSION

AI-powered marketing automation startup Conversion, founded five years ago by two UC Berkeley dropouts, has raised a $28 million Series A led by Abstract, with participation from True Ventures and HOF Capital.

The company's founding story sounds like it could have been an episode of the HBO show "Silicon Valley."

The story begins all the way back when co-founder and CEO Neil Tewari, now 24, was in high school. He got busted one day watching a TechCrunch Disrupt livestream during class, was sent to the principal's office, and had to stay late.

Afraid to call his parents and tell them why they had to pick him up, he instead called one of their close friends. On the drive home, Tewari explained to the friend what got him in trouble. "I told him I had this interest [in entrepreneurship], and four years later, he was actually the first person to write us a check into the company," Tewari told TechCrunch.

James Jiao, Tewari's college roommate at Berkeley — now Conversion's co-founder and CTO — also dreamed of founding his own company, so the two tried building various products, like one for helping marketeers buy product placement ads. They stumbled on the idea for Conversion when they signed up for HubSpot to help them with marketing

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tasks and decided to build a few extra automation features to layer on top of it.

"It was originally for us," Tewari said of his startup's tech. The co-founders enjoyed building their internal marketing tool so much, they wondered if they could sell it and began reaching out to marketing executives for "customer discovery" interviews.

"We actually spent like two months doing like 160 customer interviews with VPs of marketing, 50- to 500-employee businesses, and got a much more positive response than we could have imagined," Tewari said.

Marketing teams had these tools deeply embedded in their workflows, but everyone had similar complaints about the parts they couldn't automate.

The duo had found their idea. The family friend introduced them to more marketing execs, which helped them raise a $2 million seed round. At age

19, they dropped out of college to work full time on Conversion.

The founders treated their raised funds so frugally they lived in a two-bedroom, one-bathroom apartment with five other roommates: two people to a room, with people sleeping on the couches and in the closet.

As they built their product, ChatGPT burst onto the scene. Many legacy marketing automation tools are adding various AI and chat integrations into their wares, but not all of their features support these integrations. Marketing teams wanted "to be able to enrich contacts, [be] able to automate workflows," for instance, Tewari said. Conversion has baked AI in, which means it can do things like organize leads and automate personalized follow-up emails.

As AI interest has soared, so has the company's prospects. Conversion is nearing $10 million ARR over the past two years, Tewari said, and about 90% of its customers are midsize businesses that have yanked out a legacy app.

Of course, Conversion is also in a crowded field. Besides the legacy marketing automation tools like HubSpot, Adobe Marketo, or Salesforce Pardot, there are other AI native startups like Jasper, Writer AI, Iterable, Copy.ai, and many others.

But Tewari also has the classic Silicon Valley confidence of a founder in a crowded market. His game plan calls for targeting businesses that use the older marketing tools. Conversion is not, for instance, targeting startups choosing a tool for the first time.

The company has raised a total of $30 million between its seed and Series A, the CEO says, and is doing well enough that the founders have each moved into separate apartments where they have their own rooms, and none of their roommates sleep in a closet.

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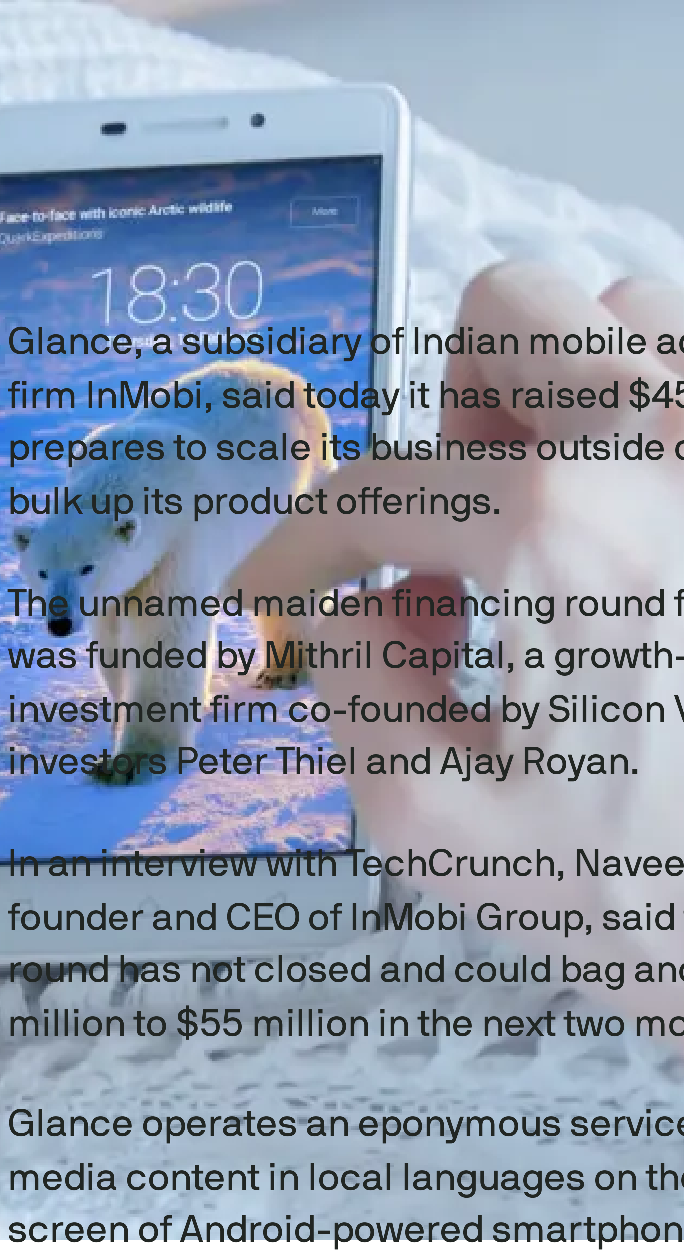
InMobi's Glance raises $45M to expand outside of India

Manish Singh — 2:29 AM PDT · September 10, 2019



Glance, a subsidiary of Indian mobile ad business firm InMobi, said today it has raised $45 million as it prepares to scale its business outside of India and bulk up its product offerings.

The unnamed maiden financing round for Glance was funded by Mithril Capital, a growth-stage investment firm co-founded by Silicon Valley investors Peter Thiel and Ajay Royan.

In an interview with TechCrunch, Naveen Tewari, founder and CEO of InMobi Group, said the current round has not closed and could bag another $30 million to $55 million in the next two months.

Glance operates an eponymous service that shows media content in local languages on the lock screen of Android-powered smartphones. InMobi has partnered with a number of top smartphone vendors, including Xiaomi, Samsung and Gionee, to integrate Glance into their respective operating systems.

Glance, which was launched in September last year and supports English, Hindi, Tamil and Telugu, has amassed 50 million monthly active users in India, its primary market. Users are spending an average of 22 minutes with Glance each day, he said.

“All the new smartphone models launched by Samsung, Xiaomi and a handful of other vendors have launched with Glance on them,” Tewari said.

In a statement, Mithril Capital’s Royan said, “We share Glance’s global vision of breaking through the constraints of application architectures and linguistic markets to deliver rich, frictionless, and engaging experiences across a myriad of cultures and languages." As part of the financing round, he is joining Glance's board.

Glance does not show traditional ads, something it intends to never change, but shows a certain kind of content to drive engagement for brands.

In the months to come, Glance plans to expand the platform and bring short-form videos (Glance TV), and mini games (Glance Games) to the lock screen. It is also working on a feature dubbed Glance Nearby that will enable brands to court users in their vicinity, and Glance Shopping to explore ways to build commerce around content.

As of today, InMobi Group is not monetizing Glance platform, but plans to explore ways to make money from it early next year, Tewari said.

The 12-year-old firm said it plans to expand footprints of Glance outside of India. The company plans to take Glance to some Southeast Asian markets like Malaysia, Indonesia and Thailand. InMobi's Tewari said Glance has already started to find users in these markets.

InMobi Group, which had raised $320 million prior to today's financing round, has been profitable for several years, but the company decided to raise outside funding to accelerate Glance's growth, Tewari said.

The firm, which has three subsidiaries, including its marquee marketing cloud division, plans to go public in the next few years. But instead of taking the entire group public, Tewari said the firm is thinking of publicly listing each division as they mature. The marketing cloud division, which brings in the vast majority of revenue for the firm, will go public first, he said.

"The IPO plans remain, and we will evaluate them as we go along. The reality, however, is that the market is so big and there is so much room that we can continue to be private for a few more years," he said.

Topics: Asia India InMobi Media & Entertainment mithril capital Samsung Startups

Manish Singh
Reporter, India

Manish Singh is a senior reporter at TechCrunch, covering India’s startup scene and venture capital investments. H...

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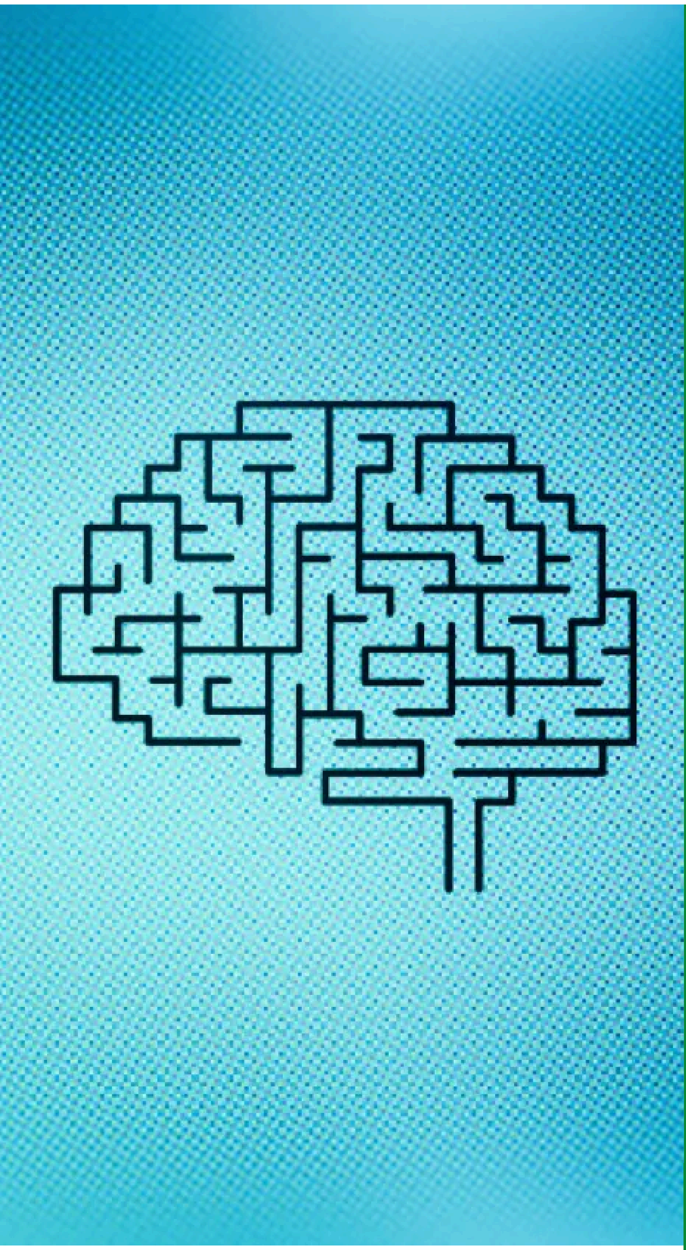


IMAGE CREDITS: SEAN GLADWELL / GETTY IMAGES

Why it’s so hard to market enterprise AI/ML products and what to do about it

Mike Tong — 9:00 AM PDT · June 10, 2022

In 2019, I led the sales team and growth strategy for a venture-backed AI company called atSpoke. The company, which Okta ultimately acquired, used AI to augment traditional IT services management and internal company communication.

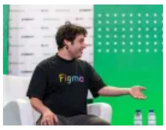
At a very early stage, our conversion rate was high. As long as our sales team could talk to a prospect — and that prospect spent time with the product — they would more often than not become a customer. The problem was getting enough strong prospects to connect with the sales team.

The traditional SaaS playbook for demand generation didn't work. Buying ads and building communities focused on "AI" were both expensive and drew in enthusiasts who lacked buying power. Buying search terms for our specific value propositions — e.g., "auto-routing requests" — didn't work because the concepts were new and no one was searching for those terms. Finally, terms like "workflows" and "ticketing," which were more common, brought us into direct competition with whales like ServiceNow and Zendesk.

In my role advising growth-stage enterprise tech companies as part of B Capital Group's platform team, I observe similar dynamics across nearly every AI, ML and advanced predictive analytics companies I speak with. Healthy pipeline generation is the bugbear of this industry, yet there is very little content on how to address it.

There are four key challenges that stand in the way of demand generation for AI and ML companies and tactics for addressing those challenges. While there is no silver bullet, no secret AI buyer conference in Santa Barbara or ML enthusiast Reddit thread, these tips should help you structure your approach to marketing.

Challenge 1: AI and ML categories are still being



defined

If you're reading this, you likely know the story of Salesforce and "SaaS" as a category, but the brilliance bears repeating. When the company started in 1999, software as a service didn't exist. In the early days, no one was thinking, "I need to find a SaaS CRM solution." The business press called the company an "online software service" or a "web service."

Salesforce's early marketing focused on the problems of traditional sales software. The company memorably staged an "end of software" protest in 2000. (Salesforce still uses that messaging.) CEO Marc Benioff also made a point of repeating the term "software as a service" until it caught on. Salesforce *created* the category they dominated.

AI and ML companies face a similar dynamic. While terms like machine learning are not new, specific solutions areas like “decision intelligence” don’t fall within a clear category. In fact, even grouping “AI/ML” companies is awkward, as there is so much crossover with business intelligence (BI), data, predictive analytics and automation. Companies in even newer categories can map to terms like continuous integration or container management.

Tactically, this means AI and ML solutions can’t rely on prospects typing specific solutions like “label quality” into, for example, Google.

To succeed, these companies need to stay in “category creation” mode. Practically, staying in this mode means being hyperfocused on the problem statement versus the solution in copy and assets.

For Hypersonix, a B Cap portfolio company, that might look like posing the question, “How much money are you losing by having a traditional analytics team determine your promotional

was “filing tickets from Slack,” even though later sales pitches focused on automated answers and workflows.

Challenge 2: It’s a product, but it’s really a pipeline

AI or ML solutions are rarely — if ever — standalone. They are part of a pipeline of data tooling that moves from source to insight or action. For example, a company that intelligently forecasts revenue might actually provide data visualization, model training and application, but require alternative tooling for data preparation and transformation.

Compounding the issue is that no two data pipelines are exactly the same. Datasources can vary from Hadoop and Snowflake to marketing automation software; architectures can change from batch and streaming to Lambda; targets or outputs can be bespoke dashboards or common BI tools. This complexity and need for customization drives the high “services” revenue for AI and ML companies (but that is a separate topic).

Allen Chen, who leads product and engineering for BCG’s data science platform, summarizes these issues well:

In the software development lifecycle, the lines are extremely clear — developers move from Github to CircleCI, for example; in AI/ML those lines are not as defined. So then you end up having a conversation about the entire lifecycle around your tool — even if your product is only 10% of the full solution.

This is a problem for marketing. It is *very* hard to have a simple value proposition that resonates with customers or adheres to the tech marketing mantra, KISS (keep it simple, stupid). Ads risk being a mouthful of “ifs,” “thens” and clarifications; this is never a recipe for success, even with a technical product or target.

One way to address this is to avoid the complexity altogether. C3.ai, a publicly traded AI company, has billboards over the San Francisco area that read, "This Is Enterprise AI." I like to think this is a nod to the complexity of the company's offering. By keeping it so radically simple, C3.ai can increase brand recognition and drive interested people to marketing websites or content that more accurately reflect the breadth and depth of the company's solutions.

It is worth mentioning that C3.ai likely faces the same pipeline challenge as smaller AI startups. Per their 2021 annual report, the company spent $53 million on sales and marketing expenses and had 40 new customers.

Another approach is to take the pipeline out of the early GTM process to focus on the solution. For example, Google makes Tensorflow tutorials interactive — you can just open up a notebook and try the APIs. For other AI/ML companies, similar strategies work, like creating sandbox environments that allow data scientists to simply drop python code into a Jupyter Notebook.

Challenge 3: The space is both new *and* crowded

There are more than 9,000 machine learning startups and companies, per Crunchbase. Firstmark Capital's Machine Learning, Artificial Intelligence and Data (MAD) landscape provides a glimpse into the Cambrian explosion of companies in the space. To illustrate, the landscape outlines 19 ML platforms, 14 data science notebooks and 13 AI synthetic media companies — and these are all *at scale.*

Further, open source libraries like Facebook's PyTorch and Google's Tensorflow can directly compete with a lot of solutions. So AI and ML companies face competition from *free* tools that are already part of developers' tech stacks (and backed by real heavies).

To address that, you need to get specific — terms like AI and ML have practically zero weight with buyers anymore. Choosing a highly specific vertical and problem statement and tailoring your messaging around that industry is table stakes. At Splunk, we had hundreds of industry specific campaigns and articles around, for example, logs for outages.

Finally, while your messaging needs to be industry-specific, don't try to go head-to-head with the open source options in early marketing material. As Chen explains, "You need to have a value proposition that is higher up the stack; don't look to pry [data scientists'] tools out of their hands ... you will not convince a data scientist that your thing is better than PyTorch."

Challenge 4: Many stakeholders, many priorities

The final headwind is that AI and ML companies need to market to multiple, very different stakeholders all at once. Unlike, say, a human resources information system that is primarily purchased by an HR department, an analytics solution will have to satisfy a business owner, a data science team and developers without including function-specific roles (like head of pricing) or procurement.

All these sets of buyers are growing savvier. Business owners will demand to see a tight connection between product and value. About 85% of AI projects failed to deliver impact, according to two recent Gartner reports. Analysts and engineers will want to see fast implementation timelines and credible promises of smooth integration.

To meet these varied demands, take a multipronged approach. Target business buyers with meaningful value propositions based on the problem statement. For more technical stakeholders like developers, offer free tooling and documentation. DataRobot, for example, not only divides its marketing website by solution and industry (quite common across B2B SaaS) but also by roles such as “Business Analysts” and “Software Engineers.”

Final thoughts

Marketing in this field will likely follow a course similar to more established categories like DevOps, IT services management and CRM. In these spaces there are clearer categories to anchor to but far more competition for eyeballs and checkbooks. Buyers tend to be more educated. Tactically, this calls for niche marketing messaging, investment in branding and focus on optimization.

While the current environment is complex, in many ways, it can be freeing for your marketing strategy. Your company can play a role in defining the space it will one day win.

Disclaimer: *B Capital, where Mike is employed, holds a financial stake in DataRobot, Hypersonix, Clari and Labelbox. Mike personally holds stock in Splunk.*

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Mike Tong has over a decade of experience leading GTM strategy and operations for tech and data companies as...

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Totango Launches Public Beta, Raises $3.8 Million To Help SaaS Companies Drive Sales

Rip Empson — 3:00 AM PDT · July 28, 2011

Totango, a realtime platform that allows software-as-a-service (SaaS) companies to better understand their customers, announced today that it has closed a $3.8 million round of Series A funding, led by Pitango Venture Capital and Gemini Ventures. The Israeli startup will use its latest infusion of capital to ramp up hiring and marketing efforts.

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The company is also officially announcing the launch of its public beta, which aims to enable sales teams to better understand how current customers or prospective customers are using their service in realtime in order to more effectively manage customer conversations and engagement. For now, the service is completely free. Down the road, Totango plans to scale its platform to address the entire customer lifecycle, and will add pricing tiers, but at this point is primarily focused on optimizing the way sales teams, specifically, are interacting with their customers.

To accomplish this, the startup allows SaaS companies to track the progress of a prospective customer, of new customers during their early interactions with the service, or of existing customers — in order to better understand each phase of user engagement. Sales teams can get the status of a customer at a glance, segment customers in the pipeline based on their usage profile, like, for example, which modules are being used, when and by how many people, and how much time is spent interacting with those modules.

Totango also offers a "personalized daily digest", which gives teams a report on how on-track or off-track sales representatives are in onboarding new customers, and suggests actions that can be taken to improve the possibility of a sale. Teams can also view activity pages, which offers account history over the course of a customer's lifecycle, notifications and alerts of customer status updates, as well as realtime tracking of customer usage during and after trials.

But perhaps the most notable feature in the startup's new public beta is its integration with native Salesforce.com apps, which enables Salesforce customers to continue working within the same apps they've grown used to, with the added benefit of a broader set of tools to improve sales outcomes. In that way, Totango presents customer interaction data within the sales team's existing CRM tools to enable them to more effectively increase free trial conversions, lower customer acquisition costs, and increase retention and renewals.

"Most SaaS pricing models are based on subscription or usage, which allows customers to stop using — and stop paying for — the service at

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- Roku launches Howdy, a $2.99 ad-free streaming service
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- Your public ChatGPT queries are getting indexed by Google and other search engines
- The best dating apps aren't even dating apps

any time", said Guy Nirpaz, CEO and Co-Founder of Totango, via the Totango blog. "That, plus low switching costs, mandates that SaaS companies constantly monitor customer satisfaction and improve the value that is being delivered".

Nirpaz continued on to say that engagement between customers and their SaaS companies remains fairly indirect, with a lack of customer visits, sales calls, and overall interaction. Without this kind of real human-to-human interaction, companies often fail to truly understand their customers, he said.

Yet, thanks to the ability SaaS companies have to track and analyze prospects and customers, cloud-based software companies have a leg-up over their traditional counterparts. Thus, the founders have built a series of tools they believe will allow sales teams to increase their effectiveness by improving conversion rates and keeping existing customers happy.

For more on Totango, check out the video below:

[youtube=http://www.youtube.com/watch?v=lijJhVmHmbc]

CrunchBase Information
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Rip Empson

Rip Empson is a writer, explorer, eager learner and part-time rabble-rouser — whatever that means. He's worked ...

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